

ABC classification of 200 SKUs

Part 4 · How do we begin? — solution report with data, method, results and charts

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1. ABC classification of 200 SKUs

Classification rule: cumulative % of value — A ≤ 80%, B ≤ 95%, C = rest.

\$1,832,644

Total annual \$ usage

**91 items (46%) →
5.1% of value**

Class C

**45 items (22%) →
79.8% of value**

Class A

**SKU-0172 = 19.4% of
value**

Top SKU

**64 items (32%) →
15.1% of value**

Class B

0.75

Concentration (Gini)

Pareto chart — 200 SKUs

45 A-items (22%) account for 80% of annual \$ usage

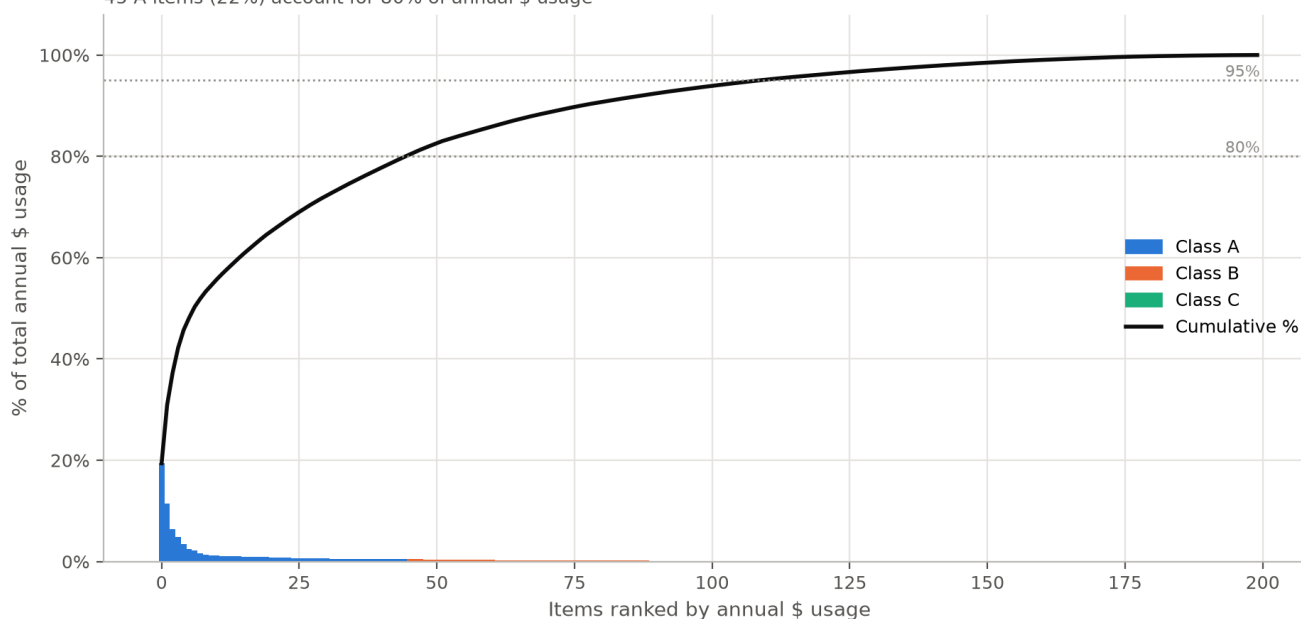


Figure 1.1 — Pareto chart of all 200 SKUs coloured by class.

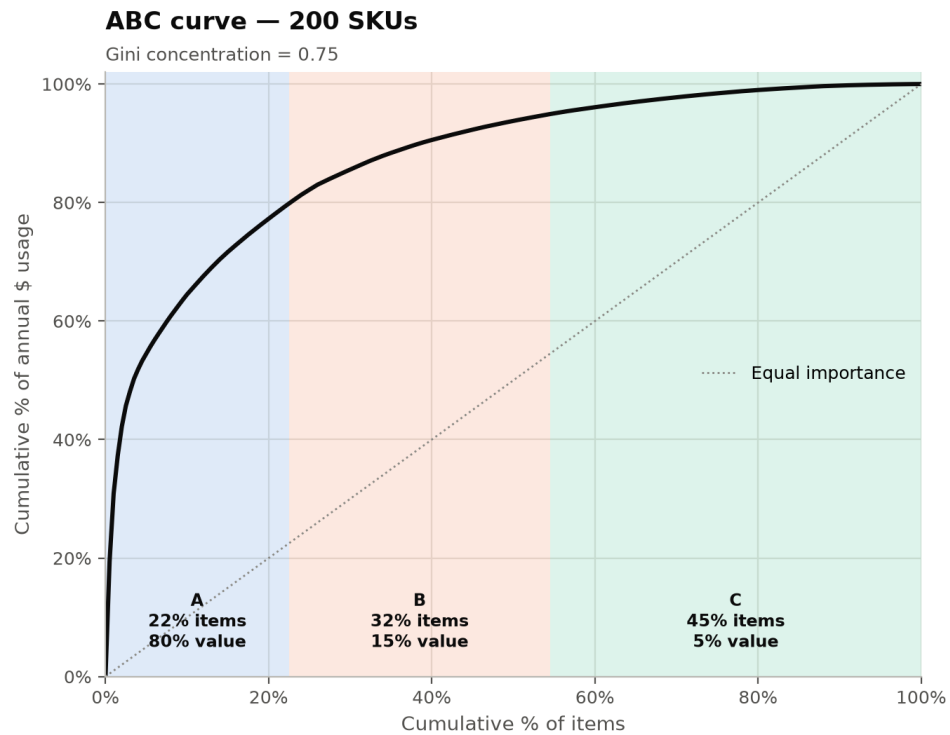
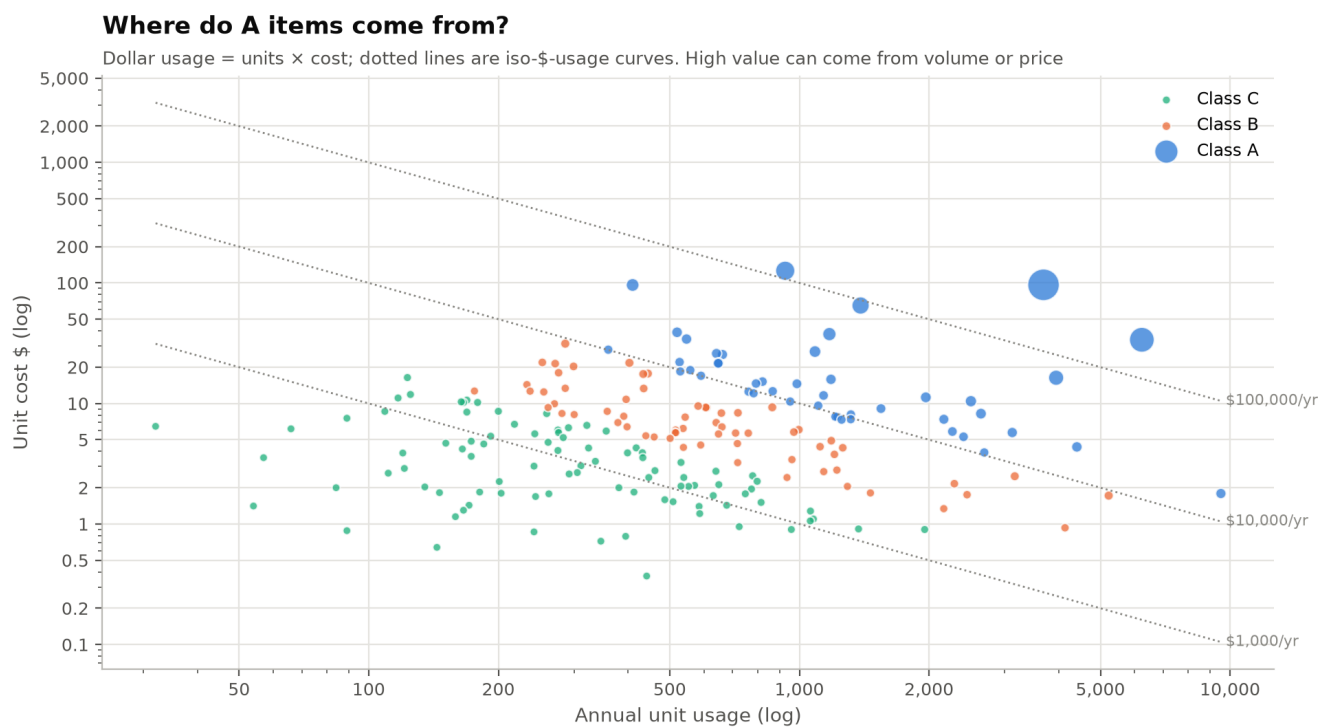


Figure 1.2 — ABC (Lorenz) curve.

Figure 1.3 — Each bubble is a SKU; bubble area $\propto$ annual \$ usage.

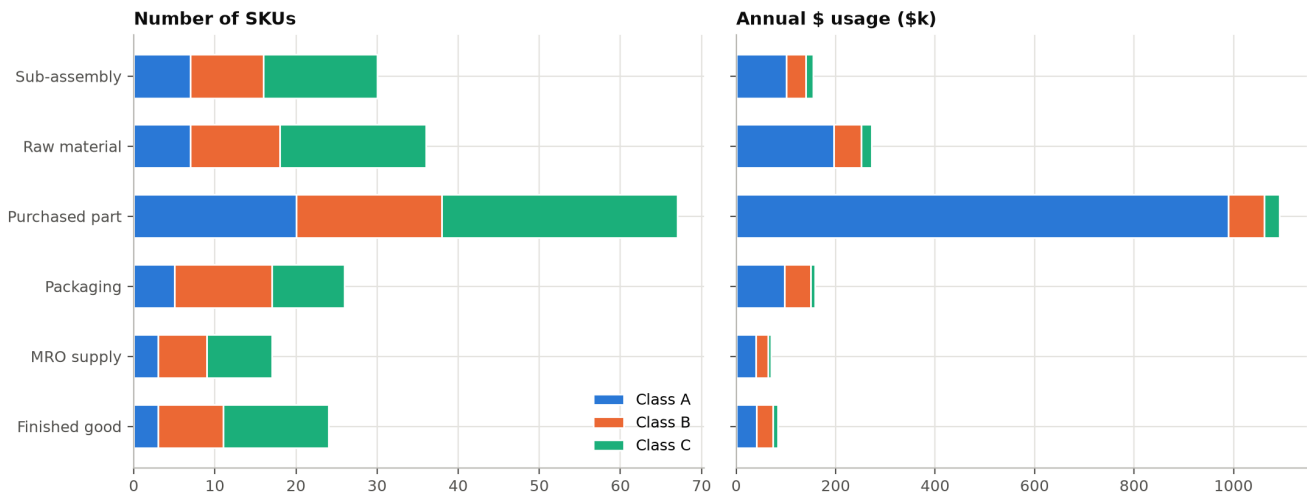
ABC mix by item category

Figure 1.4 — Count and value of SKUs by category and class.

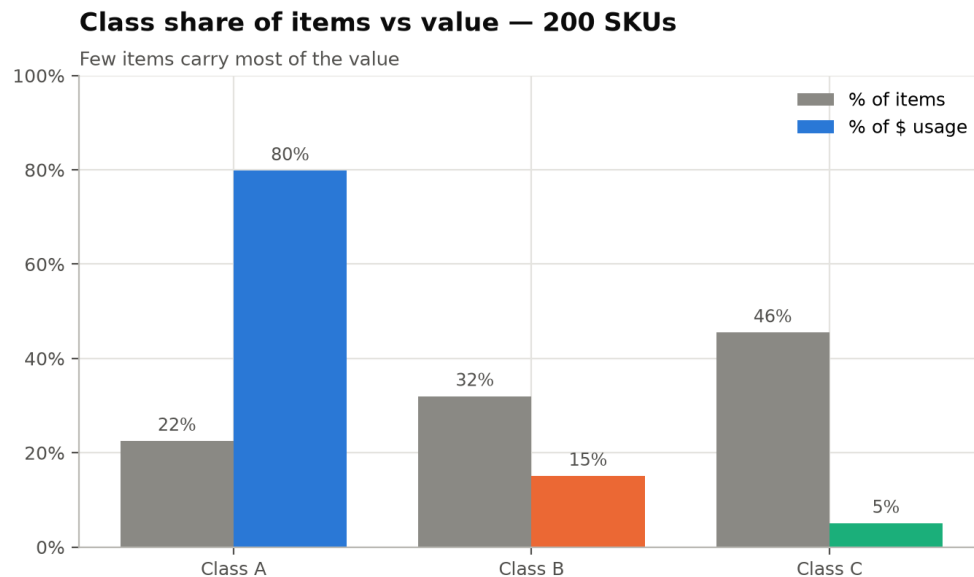


Figure 1.5 — Class summary.

Class summary.

class	items	value	pct items	pct value
A	45	\$1,463,320	22.5%	79.8%
B	64	\$276,463	32.0%	15.1%
C	91	\$92,861	45.5%	5.1%

Ranked SKU list (first 40 rows; full list in reports/tables).

rank	sku	category	annual unit usage	unit cost	annual dollar usage	pct of value	cum pct value	cum pct items	class
1	SKU-0172	Purchased part	3,689	\$96.42	\$355,693	19.41%	19.4%	0.5%	A
2	SKU-0052	Purchased part	6,240	\$33.75	\$210,600	11.49%	30.9%	1.0%	A
3	SKU-0123	Purchased part	927	\$126.14	\$116,932	6.38%	37.3%	1.5%	A
4	SKU-0176	Raw material	1,387	\$64.94	\$90,072	4.91%	42.2%	2.0%	A
5	SKU-0046	Purchased part	3,946	\$16.34	\$64,478	3.52%	45.7%	2.5%	A
6	SKU-0024	Raw material	1,174	\$37.61	\$44,154	2.41%	48.1%	3.0%	A

rank	sku	category	annual unit usage	unit cost	annual dollar usage	pct of value	cum pct value	cum pct items	class
7	SKU-0041	Packaging	410	\$96.15	\$39,422	2.15%	50.3%	3.5%	A
8	SKU-0019	Purchased part	1,087	\$26.94	\$29,284	1.60%	51.9%	4.0%	A
9	SKU-0043	Purchased part	2,502	\$10.44	\$26,121	1.43%	53.3%	4.5%	A
10	SKU-0192	Sub-assembly	1,966	\$11.24	\$22,098	1.21%	54.5%	5.0%	A
11	SKU-0117	Raw material	2,640	\$8.23	\$21,727	1.19%	55.7%	5.5%	A
12	SKU-0112	Purchased part	520	\$38.94	\$20,249	1.10%	56.8%	6.0%	A
13	SKU-0069	Packaging	4,409	\$4.36	\$19,223	1.05%	57.8%	6.5%	A
14	SKU-0130	Sub-assembly	1,184	\$15.85	\$18,766	1.02%	58.9%	7.0%	A
15	SKU-0072	Purchased part	547	\$34.22	\$18,718	1.02%	59.9%	7.5%	A
16	SKU-0185	Purchased part	3,121	\$5.74	\$17,915	0.98%	60.9%	8.0%	A
17	SKU-0109	Sub-assembly	9,523	\$1.79	\$17,046	0.93%	61.8%	8.5%	A
18	SKU-0134	Finished good	663	\$25.46	\$16,880	0.92%	62.7%	9.0%	A
19	SKU-0016	MRO supply	642	\$25.97	\$16,673	0.91%	63.6%	9.5%	A
20	SKU-0045	Purchased part	2,165	\$7.39	\$15,999	0.87%	64.5%	10.0%	A
21	SKU-0082	Packaging	987	\$14.56	\$14,371	0.78%	65.3%	10.5%	A
22	SKU-0111	Packaging	649	\$21.75	\$14,116	0.77%	66.1%	11.0%	A
23	SKU-0091	Finished good	1,547	\$9.07	\$14,031	0.77%	66.8%	11.5%	A
24	SKU-0005	Purchased part	648	\$21.52	\$13,945	0.76%	67.6%	12.0%	A
25	SKU-0158	Purchased part	1,138	\$11.65	\$13,258	0.72%	68.3%	12.5%	A
26	SKU-0083	Purchased part	2,266	\$5.85	\$13,256	0.72%	69.0%	13.0%	A
27	SKU-0141	Sub-assembly	2,405	\$5.29	\$12,722	0.69%	69.7%	13.5%	A
28	SKU-0179	MRO supply	821	\$15.18	\$12,463	0.68%	70.4%	14.0%	A
29	SKU-0099	Purchased part	527	\$22.04	\$11,615	0.63%	71.0%	14.5%	A
30	SKU-0085	Raw material	793	\$14.63	\$11,602	0.63%	71.7%	15.0%	A
31	SKU-0200	Purchased part	867	\$12.63	\$10,950	0.60%	72.3%	15.5%	A
32	SKU-0053	Purchased part	1,317	\$8.10	\$10,668	0.58%	72.8%	16.0%	A
33	SKU-0110	Purchased part	1,106	\$9.58	\$10,595	0.58%	73.4%	16.5%	A
34	SKU-0002	Sub-assembly	558	\$18.90	\$10,546	0.58%	74.0%	17.0%	A
35	SKU-0164	MRO supply	2,687	\$3.92	\$10,533	0.57%	74.6%	17.5%	A
36	SKU-0156	Raw material	360	\$27.93	\$10,055	0.55%	75.1%	18.0%	A
37	SKU-0066	Finished good	591	\$16.97	\$10,029	0.55%	75.7%	18.5%	A
38	SKU-0054	Purchased part	952	\$10.37	\$9,872	0.54%	76.2%	19.0%	A
39	SKU-0026	Purchased part	529	\$18.45	\$9,760	0.53%	76.7%	19.5%	A
40	SKU-0097	Sub-assembly	1,316	\$7.40	\$9,738	0.53%	77.3%	20.0%	A

... 160 more rows not shown — full table exported to reports/tables/.